

SUPPLY CHAIN OPTIMIZATION FOR SMEs

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SUPPLY CHAINS

Supply chains are interconnected systems of organizations, people, activities, information, and resources involved in producing and delivering goods or services from suppliers to consumers. They encompass every step from sourcing raw materials to manufacturing, transportation, and distribution, directly impacting profitability, customer satisfaction, and resilience in the face of disruptions.

The butterfly effect is when small changes in a system's initial conditions have much larger unintended consequences. As large and complex systems, supply chains are particularly vulnerable to unpredictable disruptions that can lead to larger impacts down the line.

Since these can occur anywhere in the supply chain, from the provision of raw materials to labor, inventory, warehousing, shipment, and fluctuations in demand, SMEs must have an in-depth understanding of each supply chain player to minimize their exposure to the butterfly effect.

Key supply chain players

Suppliers

Manufacturers

**Distributors and
wholesalers**

Retailers

Customers

Regulators

Components of a healthy supply chain

SMEs can increase efficiency, reduce costs, drive innovation and competitiveness, satisfy customers, and manage risks by implementing the following components:

- > **Planning:** Develop a strong strategy, forecasting, and demand management system.
- > **Sourcing and procurement:** Establish strong, reliable relationships with suppliers to ensure timely delivery of goods.
- > **Inventory management:** Ensure the right amount of stock is maintained to meet demand without overstocking through techniques like Just-In-Time (JIT) or Just-In-Case (JIC).
- > **Logistics:** Manage transport routes, methods, and costs to ensure timely delivery.
- > **Data analysis:** Share data across the supply chain to improve operations in the upcoming cycle from storage to delivery.
- > **Risk management:** Anticipate risks and disruptions such as natural disasters, geopolitical issues, and epidemics by diversifying suppliers and developing contingency plans.



GLOBAL SUPPLY CHAINS: CHALLENGES, TRENDS, AND OPPORTUNITIES

Accident, incompetence, natural causes, or ill intent can cause disruptions. In 2021, for example, the Ever Given container ship got stuck in the Suez Canal for six days, disrupting global trade and resulting in \$10 billion¹ per day in losses. Strong winds and poor management of the incident only exacerbated the crisis, negatively impacting global supply chains for a considerable time to come.

From climate change and currency fluctuations to inflation and regulatory changes, SMEs must navigate a web of unpredictable potential supply chain shocks. Thankfully, there are tools to help them do so.

Global supply chain challenges

With a surge in conflict and unrest in Africa, the Black Sea, the Middle East, and South Asia, global supply chains have come under great strain in the past 12 months.



3%
drop in global trade in 2023²



50%
cuts to Bangladeshi garment
production in 2024 due to floods⁴

Emerging trends and opportunities

Various new technologies are helping SMEs become more adaptive to supply chain issues, providing unique opportunities for growth and resilience in the process.



Generative AI: By generating novel outputs based on learned data, Generative AI is expected to impact supply chain management, logistics, and procurement by learning the nuances of a company's supply chain ecosystem. Of companies already using it, 87% expect a return on investment by 2025.⁵



No/Low Touch Planning: As companies grow their generative AI capabilities, repetitive tasks that waste valuable human resources will be handled by no/low touch planning, which minimizes human error and speeds up delivery to customers. By analyzing data to identify the source of anomalies or problems, it can then offer rapid solutions to overcome them.



Low-code platforms: These simplify the automation of supply chain tasks by using Application Programming Interfaces (APIs) to simplify the coding language. helps companies make the necessary adjustments to their automation system and prepare for disruptive events.



Sustainability and ESG: By reducing their carbon footprint and holding their suppliers accountable, SMEs can gain greater customer loyalty and access to funding by ensuring the sustainability of their suppliers and implementing hybrid carbon accounting methodologies.

Saleh Al Suwaïti

CEO,
Supply Chain and Procurement Society



جمعية سلاسل الإمداد والمشتريات
Supply Chain & Procurement Society



How does the society contribute to the sophistication of the Kingdom's supply chains?

Our strategy is based on several main pillars: first, raising awareness of the principles of supply chains, procurement, regulatory requirements, compliance standards, and global best practices. Second, building capabilities by enhancing the skills of specialists in the field of supply chains and procurement. Third, enhancing businesses by promoting procedures and policies that serve the public interest, create a suitable work environment, and help them meet their business needs. Fourth, increasing job opportunities by enhancing cooperation between businesses, educational institutions, and government bodies.

What role does public-private collaboration play in building a sustainable supply chain ecosystem?

Public infrastructure and policies and private sector innovations and expertise are both key to driving the efficiency and flexibility of supply chains. This cooperation also enables SMEs to access more resources. Partnerships are also central to driving the localization of advanced technologies, knowledge transfers, local content development, transparency, and crisis planning, ensuring the stability of supply chains in times of turmoil. We at the Supply Chain and Procurement Society are committed to supporting these trends by establishing partnerships with local and international bodies in the public, private, and non-profit sectors to disseminate best practices, raise the level of efficiency of supply chains in the Kingdom, and create an attractive environment for doing business.

How does the society assist SMEs in building resilient supply chains?

We do so by building capabilities, encouraging best practices, and empowering specialists in the field to advance the sector and manage unexpected crises and disturbances such as the pandemic, and shipping disruptions in the Red Sea. To do so, we offer specialized training programs to enhance technical and administrative skills, professional certificate programs, and short courses, in addition to producing research, scientific

papers, surveys, and statistics. This includes the Supply Chain Dictionary project, which translates and codifies supply chain terms to make them accessible to Arabic speakers.

How does the society collaborate with local and international partners to benefit the supply chain and procurement sector?

At the local level, we cooperate with government agencies such as Monsha'at to develop infrastructure and facilitate access to data and information. At the international level, we cooperate with organizations such as the European Institute for Procurement Management to measure the maturity of supply chains, and the Chartered Institute of Procurement & Supply (CIPS) to provide insights into procurement strategies and supply chain management. These partnerships facilitate knowledge transfers, capacity building, and the adoption of advanced technologies, which enhances the sector's competitive capabilities. Our conferences, workshops, and training programs also provide platforms for partners to build relationships and exchange experiences.

What trends do you foresee shaping the supply chain industry in Saudi Arabia, and how can SMEs prepare for them?

There is no doubt that digital transformation and sustainability are the two main future trends for SMEs, as new technologies such as artificial intelligence, blockchain, and IoT bring more transparency and efficiency to supply chains by enabling predictive analysis and real-time tracking operations. SMEs that want to achieve success should adopt these tools to improve their operations, mitigate risk, and increase the sustainability of their business.

Global integration contributes to strengthen the position of Saudi Arabia as a global logistics center, thanks in large part to initiatives such as the National Industrial Development and Logistics Program (NDLP). We at the Supply Chain and Procurement Society are keen to help SMEs achieve compatibility with these programs, diversify their network of suppliers, invest in talent, and build strategic partnerships that enable them to keep pace with these trends.

Aghareed Abdul-Jawad

Finance & Budgeting Director,
Globe Group



How is Globe Group contributing to Saudi Arabia's Vision 2030, particularly in logistics and transportation?

At Globe Group, we are committed to supporting Saudi Vision 2030 by advancing innovation in logistics through modern technologies such as automation and digitization, which help streamline operations and enhance efficiency. We're not limited to traditional logistics; instead, we create integrated solutions that meet the evolving demands of both local and global markets.

Developing local talent is also a key priority. Our Globe Logistics Academy is designed to equip Saudi professionals with cutting-edge skills, aligning with the Kingdom's vision of empowering citizens and increasing local content in the logistics sector.

We also work closely with public and private partners to enhance supply chain integration and develop strategies that will help position Saudi Arabia as a global logistics hub. Our role extends beyond providing services; we view ourselves as partners in building the future of Saudi Arabia, ensuring that logistics plays a key role in realizing the broader goals of Saudi Vision 2030.

What role does technology play in modernizing supply chains, and how is Globe Group embracing digital transformation?

Technology is at the core of modernizing supply chain systems. It enhances transparency, streamlines operations, reduces delivery time and lowers cost. At Globe Group, we are adopting cutting-edge technologies like automation, autonomous vehicles, robotic warehouses and smart inventory management systems. These innovations not only improve efficiency and reduce human error but also help minimize carbon footprint.

Looking ahead, we envision a future where technologies such as artificial intelligence, big data analytics and blockchain provide new levels of transparency, security and efficiency in supply chain management systems. We are actively exploring and implementing these innovations to boost our competitiveness while contributing to the achievement of Saudi Arabia's Vision 2030.

What public policies could further enhance the efficiency of the Kingdom's supply chain?

Saudi Arabia has made significant progress in developing efficient supply chain systems. Investment in infrastructure is key, such as expanding logistic hubs and developing multi-modal transportation networks to better connect cities and regions. Promoting digitalization by adopting automated warehousing systems and digital freight platforms would also improve efficiency. Additionally, supporting green logistics and circular supply chain processes can foster sustainability by reducing environmental impact and costs. Lastly, workforce development through skill-training programs in digital logistics and automation would ensure a competitive edge.

What advice would you offer SMEs looking to optimize their supply chains, and how can smaller companies in Saudi Arabia benefit from lessons learned by larger organizations like Globe Group?

SMEs should focus on adopting best practices from larger companies to enhance efficiency and scalability. One key lesson is the importance of investing in technology—automation, data analytics, and digital platforms which can streamline supply chain systems and improve decision-making processes. Even on a smaller scale, these technologies can boost productivity and reduce costs.

Another valuable strategy is to build resilience within supply chain systems by diversifying suppliers and establishing contingency plans. SMEs can also benefit from studying how bigger organizations manage risks and navigate disruptions; allowing them to build more adaptable models.

Finally, smaller companies should focus on sustainability and regulatory compliance. Learning from larger players' experiences with environmental practices and governance can help SMEs stay competitive while minimizing operational risks. By applying these strategies, SMEs can optimize their supply chain processes and position themselves for long-term success.

SAUDI ARABIA: A GLOBAL SUPPLY CHAIN CROSSROADS

Saudi Arabia is strategically placed to strengthen its position as a growing supply chain leader thanks to its strategic geographic location, highly skilled population, rapidly diversifying economy, and business-friendly policies.

The Kingdom is uniquely placed to embrace supply chain transformation



100%

internet penetration with tech-savvy population⁶



30%

of global seaborne trade passes Saudi boundaries⁷



2,640km

of coastline⁸



60%

of the world's population within an 8-hour flight⁹



Only country

with three major maritime routes: the Suez Canal, the Bab al-Mandab Strait, and the Strait of Hormuz¹⁰

To solidify its rise as a global supply chain leader, Saudi Arabia is prioritizing the development of strong supply chains through Saudi Vision 2030 programs and initiatives such as the National Industrial Development and Logistics Program (NIDLP).

Launched in 2019, NIDLP is unleashing the Kingdom's potential as a global logistics hub with a raft of policies to build new infrastructure, boost foreign investment, and bolster a host of export-led industries.

NIDLP's ambitious goals for 2025



8

special economic zones (SEZ) to support the NIDLP sector



5

centers launched for the Fourth Industrial Revolution (4IR)



3.38/5

score in World Bank Logistics Performance Index



70%

operational utilization rate for port capacity¹¹

Future Factories Program Initiative

Saudi Arabia is also boosting the strength of its supply chain by providing support to industrial-focused SMEs through initiatives like the Future Factories Program Initiative. Led by the Ministry of Industry and Mineral Resources, the program is bringing digital transformation to 4,000 factories to boost productivity, competitiveness, and efficiency.



21%
reduced operational costs



60%
improvement in product quality



13%
enhanced supply chain responsiveness



Adoption
of Fourth Industrial Revolution technologies¹²

By helping to build an advanced industrial ecosystem, the program also aims to create high-quality new jobs across the manufacturing sector.

Most confident SMEs in MENA

As a result of this comprehensive support for Saudi SMEs, the Kingdom is now home to the most confident and optimistic SME ecosystem in MENA.



1st
in confidence among
SMEs in MENA



93%
of SMEs reported
confidence in business
growth in 2023



85%
of SMEs surveyed
reported similar or
increased revenue
in 2023¹³



Funding and regulatory framework

To further strengthen its rapidly maturing supply chain ecosystem, Saudi Arabia launched the Global Supply Chain Resilience Initiative (GSCRI) in 2022 to attract investment into infrastructure that will help position it as a global supply chain hub.



\$2.7bn

in incentives earmarked



50%

of electric power
production from
renewables by 2030



4th

globally in 5G
network deployment



2nd

in G20 for spectrum
allocation



92/100

score in ITU Regulatory
Tracker Index



Top 15

economy by 2030¹⁴

GSCRI investment pillars and target sectors

GSCRI has four investment pillars: sustainability and climate change, future industry enablement, global supply diversification, and advanced manufacturing. In addition, it has 12 priority investment sectors:



Aerospace



Maritime



Automotive



Medical Devices



Building Materials



Military Industries



Petrochemicals



Mining and Metals



Food Processing



Pharmaceutical Manufacturing



Machine and Equipment



Renewables



GSCRI provides a range of regulatory and financial incentives to facilitate investment in the country's supply chain infrastructure.

Financial incentives:

CAPEX grants, employee-related operating expenses (OPEX) such as salaries and training, and non-employee OPEX

Sponsored services and inputs:

Utility and raw material feedstock support, other inputs such as rent

Capital deployment:

Access to loans, equity, and credit guarantees

Fiscal and tax incentives:

Tax and governmental support, and SEZs

Regulatory incentives:

Corporate, workforce, and sector-specific regulations

Nayif Alzahri

Co-Founder,
Sirdab



How do you see the role of cloud-based warehousing and logistics evolving for SMEs in Saudi Arabia, especially as they scale their operations?

Cloud-based warehousing and logistics are becoming crucial for SMEs in Saudi Arabia, especially as they scale. Traditionally, businesses in need of warehousing space would rent, equip, and operate their own warehouses. This process typically involves long-term contracts, often with a minimum term of one year, requiring advance payments. In the best-case scenarios, landlords might allow payment in installments, but even this is rare.

Cloud warehousing, on the other hand, offers a flexible, pay-as-you-go solution that allows businesses to scale up or down as needed. This flexibility proved invaluable during the pandemic. Some businesses, particularly in e-commerce, needed more space as their operations expanded, while others were forced to downsize.

Offering integrated tech solutions like real-time inventory tracking, automated order fulfillment, and data analytics, cloud warehousing also streamlines operations. This bundled approach combines physical scalability and digital infrastructure, making it a cost-effective and essential tool for SMEs navigating growth in a changing market."

With the rise of e-commerce in the region, how has Sirdab adapted to the growing demand for faster and more reliable delivery services?

We offer delivery services but do not provide them directly ourselves. Instead, we aggregate service providers, such as Aramex, Flogs, and other last-mile logistics providers. This plug-and-play model supports e-commerce businesses by giving them access to a variety of logistics solutions. If a business isn't satisfied with one provider, they can easily switch to another.

Our role is to collect data from these providers and present it transparently to our merchants, enabling them to make informed decisions. By creating a unified network of logistics providers into a single network, we allow businesses to test different options and choose the one that best meets their needs.

How does Sirdab foster partnerships between suppliers, warehousing providers, and SMEs to create seamless logistics operations?

Logistics is all about partnerships. From the very beginning, it's a collaborative business. Since we are building a network of logistics providers, partnerships are at the core of everything we do. Every day, we're identifying new partners and integrating their services into our network.

Traditionally, these partnerships have been managed offline. However, it is more challenging to manage partnerships manually, especially when you need to find space quickly. Sirdab makes this process seamless by digitally enabling partnerships. In short, our product is the Sirdab network, a combination of partners who maintain consistent standards of service and communication.

What broader steps can be taken to improve supply chain optimization in Saudi Arabia and the region, and what role can Sirdab play in achieving this?

Logistics is a key focus area in Vision 2030, and there is significant potential for improvement in the region. One of the first steps to improving supply chain optimization is investing in technology, such as collecting the right data to enhance collaboration and optimization. At Sirdab, we provide our own warehouse management system to logistics providers within our network, free of charge. This helps our providers manage their customers more effectively and enables better data management and optimization.

The second key area is infrastructure investment. Saudi Arabia faces a shortage of Class A warehouses, which Vision 2030 aims to address through new logistics and industrial zones. Additionally, we must work to improve cross-border trade within the GCC. Currently, for example, it's difficult and costly for a small merchant to ship goods from Dubai to Saudi Arabia. Simplifying trade within the GCC would greatly enhance logistics efficiency.

Lastly, the creation of free zones, which is also a part of Vision 2030, will significantly expand logistics capabilities in Saudi Arabia. For instance, importers could store items in a free zone and then ship them to other MENA countries without incurring double customs duties driving regional optimization.

These four steps are critical for advancing supply chain efficiency in Saudi Arabia and beyond.

Tariq Alturkestani

Co-founder,
Sae



As a company founded in 2017, Sae has rapidly grown, now handling over 1.5 million parcels annually. What key strategies have enabled it to scale so quickly in the competitive e-commerce logistics market?

Our growth is driven by four key strategies to help us grow. First, we focused on being a customer-centric company. Since last-mile delivery isn't something typically enjoyable, ensuring customers perceive our service as valuable has been a challenge. We made sure that all our staff understood that customers come first. Second, we've tried to be agile and innovative. In Saudi Arabia, delivery services must be adaptable to handle increased demand during key seasons such as Ramadan, year-end celebrations, National Day, and Founding Day. We leverage technology to efficiently onboard and offboard couriers, ensuring we meet the market's fluctuating demands.

Third, we've built strategic relationships with partners like warehouse owners and e-commerce companies. In remote areas such as King Abdullah Economic City (KAEC) and Rabigh, we collaborate with local businesses to use unused spaces in their showrooms or supermarkets to help with deliveries. We're also moving towards the pick-up and drop-off (PUDO) model, where customers can pick up packages from lockers. Finally, we enhanced our operational capability by using third-party assets. While we initially used our own trucks for intercity deliveries, we now utilize existing assets from other companies to increase efficiency.

How does Sae integrate technology to optimize last-mile delivery and supply chain management?

We rely on three essential elements, the first element is data analytics. We collaborated with a university in Jeddah on a co-op program to develop dashboards using Microsoft Power BI and other business intelligence tools that allow us to track KPIs and measure how well we are meeting our service level agreements (SLAs). Second, we've focused on automating tasks. Even though last-mile delivery involves physically moving parcels, many intermediate steps require human input. We automated this process using SMS, WhatsApp, and other business solutions, which reduced the need for one-on-one calls.



Finally, we've incorporated AI and machine learning techniques, particularly in predicting delivery outcomes. For instance, we can analyze customer behavior. If a customer frequently orders, we can predict the best time to deliver. This increases our success rate for deliveries.

How does Sae help SMEs manage their logistics and supply chains more effectively?

We offer SMEs the same level of service as large companies, providing tailored solutions that meet their specific needs. Not all SMEs face the same challenges. Some may need financing solutions to purchase products and then sell them. For such clients, we integrate them with lenders, manage their inventory, and oversee deliveries and settlements. Moreover, we help SMEs optimize their logistics and reduce their expenses, making them more efficient.

What trends do you foresee shaping the future of e-commerce logistics in Saudi Arabia?

Fast delivery is the most prominent trend, driven by younger consumers who expect quick service. They're used to ordering food through delivery apps and receiving it within an hour or less, and they want the same experience with e-commerce. Many companies are now pushing for faster delivery times. The second trend is the increase in cross-border e-commerce. China-based companies such as Shein and AliExpress see Saudi Arabia's high purchasing power and are targeting this market with promotions and products. Platform like these handle tens of thousands of daily deliveries in the region. Companies like Shein are setting up warehouses in Riyadh, not just to serve Saudi Arabia but also the GCC.

Digitalization is another key trend. Five years ago, people primarily used cash on delivery for payments. Today, digital payment methods like Apple Pay, Tabby, and Tamara are common. Last-mile delivery will increasingly cater to individual customers needs. Customizing delivery times based on customer availability will increase satisfaction and improve operational efficiency.

DIGITAL TRANSFORMATION IN SUPPLY CHAIN OPTIMIZATION

Efficient supply chain management is key to SMEs' survival, which is why digital transformation tools that give them greater flexibility, efficiency, and visibility over their supply chains are critical.



AI & Machine Learning

help analyze large volumes of data to predict demand, optimize routes, improve inventory management, detect anomalies, and prevent disruptions.



Data analytics

analyze large datasets to gain insights into supply chain performance and trends, forecast future demand, optimize inventory levels, and help make real-time decisions.



Internet of Things (IoT)

enables sensors and devices to collect real-time data at various points in the supply chain, tracking the location and condition of goods in transit.



Digital twins

are virtual representations of the supply chain that allow businesses to simulate and analyze different scenarios, helping them understand the potential impacts of changes and optimizing processes.



Blockchain

provides transparency and security by creating an immutable record of transactions that can verify product authenticity and ensure compliance across the supply chain.



Low-code platforms

enable rapid development of applications and workflows to create supply chain management tools, deploy solutions, accommodate changes to business processes, automate workflow processes, and aggregate data.



Cloud-computing

provides scalable infrastructure and platforms for managing supply chain operations by enabling collaboration across different departments and locations and reducing the need for significant upfront investments in IT.

SMEs that adopt these are better prepared to weather unpredictable market forces by gaining greater supply-chain visibility, helping them develop a more customer-centric approach.

Mohammed Aldossary

Co-Founder & CEO,
Sary

Sary



Sary is transforming the way small businesses procure supplies through its B2B e-commerce platform. How has its business model evolved, and how does it support SMEs in streamlining their procurement processes?

When we first got started, we asked ourselves, "How can we make micro, small, and medium enterprises succeed" We started as an e-commerce platform facilitating trade and democratizing wholesale, but our goal was always to build a B2B platform. Instead of just being an e-commerce solution, we wanted to digitize the whole ecosystem, making it fully integrated. Our objective is to give businesses the ability to sell through our platform, access delivery trucks, get data on point-of-sale transactions, and even run ads and promotions, all online. We're building a B2B ecosystem where we provide all the services that SMEs need, including financing, logistics, and promotions, to create a more efficient and healthy ecosystem for small and micro enterprises.

What challenges do small businesses face in managing their supply chains, and how does Sary address these?

There are multiple challenges, but the key issues are supply chain fragmentation and limited access to affordable supply and liquidity. A typical customer deals with more than 40 suppliers. We solve that problem by centralizing procurement into a one-stop shop with 24-hour delivery. Over the last five years, we've facilitated more than SAR 5 billion in procurement.

The second problem is that customers lack transparency—they don't know if they're getting the best prices, the latest promotions, or the freshest products. We increase transparency by giving customers access to real-time pricing and promotions, which helps them get the best deals and products. Additionally, we handle bulk purchasing on their behalf. Instead of waiting three years to build a track record to qualify for bank loans, we help them from day one. We offer them solutions for both operations and working capital to help them grow.

What are some key insights gained from Sary's journey in the B2B e-commerce space that contribute to building a scalable and customer-centric business?

The first is focusing on customer-centricity by building what customers truly need.

Second, we started in a small city in the Eastern Province, giving us room for experiment before expanding to the bigger cities. Experimentation, failure, and adjustment are important. You shouldn't build a finished product and assume it's the one customers want; iteration is key.

Third, is identifying scalable, repeatable building blocks. That's how we built our business. Wherever we go, we can plug and play because we are built as a digital-first technology company. Lastly, don't be afraid to launch a product early. Many people hesitate and spend three to five years perfecting something. We launch fast, iterate, and quickly learn what the customer wants.

How do you envision the future of B2B platforms like Sary in terms of supporting both the digital economy and the traditional retail sector?

Over the past four to five years, we have witnessed several significant changes. When Sary was launched, digital payments usage stood at just 1%. Then COVID-19 hit and Apple Pay came into the market, and now in B2B, digital payments have reached approximately 20%. Another major development is e-invoicing, an initiative by the Zakat, Tax, and Customs Authority (ZATCT). In the last two years, businesses have been required to issue digital invoices, and in the next two years, invoices must be integrated in real time. We provide businesses with a plug-and-play solution to help them with compliance.

These changes provide us valuable data enabling us to offer customers enhanced financing options. Last year, we extended \$100 million in financing. Our goal is to expand this to \$2 billion by 2027. We aim to support the creation of 20-30 "Made in Saudi" brands, with the expectation that these will account for 20-30% of our business by 2027. Through data, financial inclusion, and payment solutions, we're aiming to help businesses become more efficient and competitive.

Thamer Altuwaiyan

Co-Founder & CEO,
RedBox



What inspired the creation of RedBox, and how has it met the gap in traditional logistics services that it identified?

Before launching in 2019, we were a normal e-commerce shop that knew from personal experience what challenges you could face in the last mile, so everything we introduced was based on growing demand for a more flexible and efficient delivery for the e-commerce sector. Logistics is the backbone of e-commerce; as it grows, logistics has to keep and anticipate its pace. Traditional home delivery has always faced many challenges, which increases the cost of the last mile. As end-users' demand for more efficient, flexible, and convenient deliveries increased, we realized we needed to innovate and disrupt the market by introducing the 'out-of-home-delivery' (OOH) network. In Saudi Arabia alone, the amount of people that are willing to pick up their packages outside the home has increased from 5-7% to 30-40%. We are happy to have helped contribute to this broader switch to OOH, which brings customers much more convenience and flexibility.

How do you see parcel lockers evolving in the rapidly growing e-commerce sector, and what impact is RedBox having on overall delivery efficiency?

Increasing demand for different options, especially in Saudi Arabia, is pressuring larger e-commerce players to also provide the OOH option to a growing body of end-users. The efficiency gains are very clear. Whereas traditional delivery methods can see a courier deliver 40-50 parcels per day, parcel-locker networks increase that number per driver to 200-300 parcels per day, which makes it far more efficient for everyone involved.

How do you strike a balance between cost-efficiency for customers and maintaining profitability in your logistics network?

One of the biggest factors in getting customers to finish their purchase online and not abandon their cart is the cost of delivery they see at checkout. Since we're able to minimize

that cost, our service and technology allow us to provide a very efficient, high-quality, and low-cost delivery experience for shoppers and the wider e-commerce business, including logistics companies.

What technological innovations at RedBox have been critical to optimizing last-mile delivery, and how do you leverage data to enhance logistical performance and customer satisfaction?

E-commerce is a seasonal business full of often predictable spurts—think Ramadan, Black Friday, and National Day—which forces us to be very optimized and direct as many of our resources as possible to meeting them. One of the difficulties during these times is customer support, the status of the shipping, etc, for which we have applied a generative AI agent technology that gives customers step-by-step updates on the status of their shipment from the time you submit your order to its delivery to your hands. We also use AI to predict the best route for our drivers so they can optimize the delivery of packages. In terms of data collection, our single best resource may be customer feedback, which is essential to optimizing our services.

What role do you see SMEs playing in the future of logistics innovation, and how can solutions like RedBox help smaller businesses improve their supply chain efficiency?

SMEs are the core of global innovation. With their talented founders and teams, they are actually able to convert their ideas into real-world examples and apply them far quicker than corporations. They are agile, innovative, and able to tackle issues with a sharper focus. When it comes to RedBox working with SMEs, we have an open infrastructure into which a lot of logistics companies and start-ups actually build their application. In building this infrastructure, we ensured it was open for everyone. The applications that can be built on top of this are endless, and we are very happy to already be seeing many SMEs using our parcel-lockers to deliver innovative products and services to a variety of sectors and industries.

BUILDING RESILIENT SUPPLY CHAINS

The world of late has been no stranger to market-changing supply-chain disruptions. A year into the pandemic, the cost of moving a container from China to North America had risen by 650%.¹⁵ To minimize disruptions, SMEs are advised to take the following steps to ensure their supply chains are as resilient as possible.



Diversification of suppliers: Diversifying suppliers across different regions reduces reliance on a single source and mitigates the risk of localized disruptions, spreading risk and enhancing supply continuity.



Digital transformation: Helps maintain the company's operations remotely and enhances greater visibility in delivery and recurring tasks.



Supply chain mapping: Helps identify critical nodes and potential failure points and enables the company to develop appropriate response measures.



Logistical flexibility: Enables the company to develop alternative logistical strategies such as multi-modal transportation to continue operations despite potential disruptions.



Contingency planning: Developing contingency protocols helps SMEs outline steps that need to be taken in the case of specific supply chain disruption scenarios.



Increased monitoring: Digitization and supply chain mapping enable companies to activate monitoring systems and intervene quickly in case of disruptions. This visibility is key in ensuring operational continuity.



Partner collaboration: Strong relationships with stakeholders at every step of the supply chain build trust, increase transparency, and minimize friction in the case of unforeseen supply shocks.



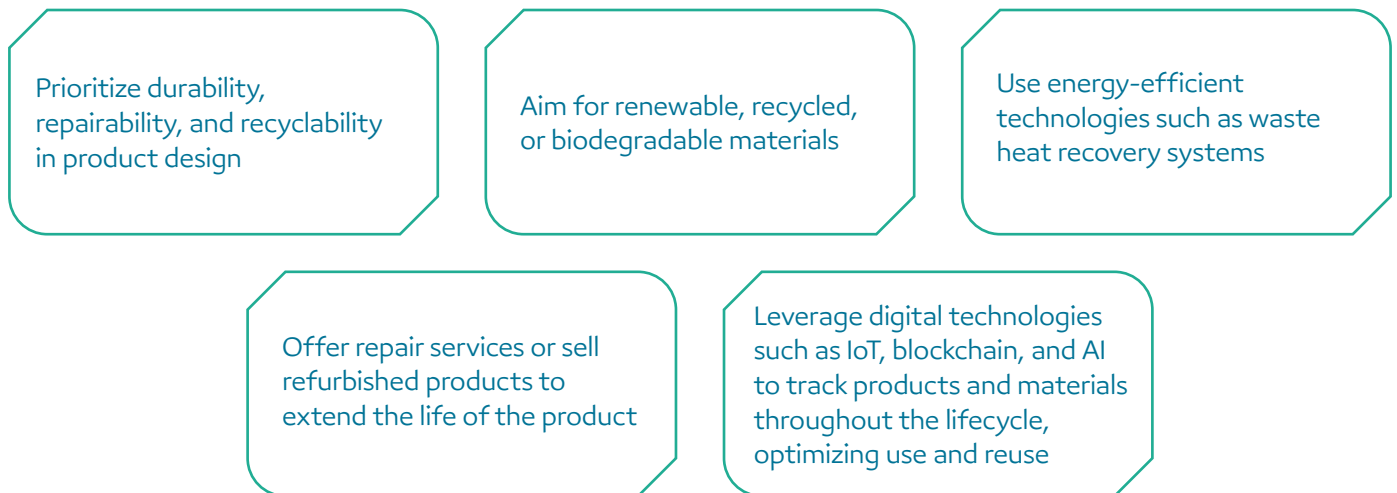
Safety stock buffers: Keeping an emergency stock of critical items helps companies avoid stockouts during disruptions. Buffer quantities should be determined based on historical data on demand and lead times.¹⁶

Supply chain sustainability for SMEs

While SMEs can benefit from adopting the same sustainable technologies as larger corporations, cost-effective methods can be employed to help them become more sustainable without burdensome capital outlays.

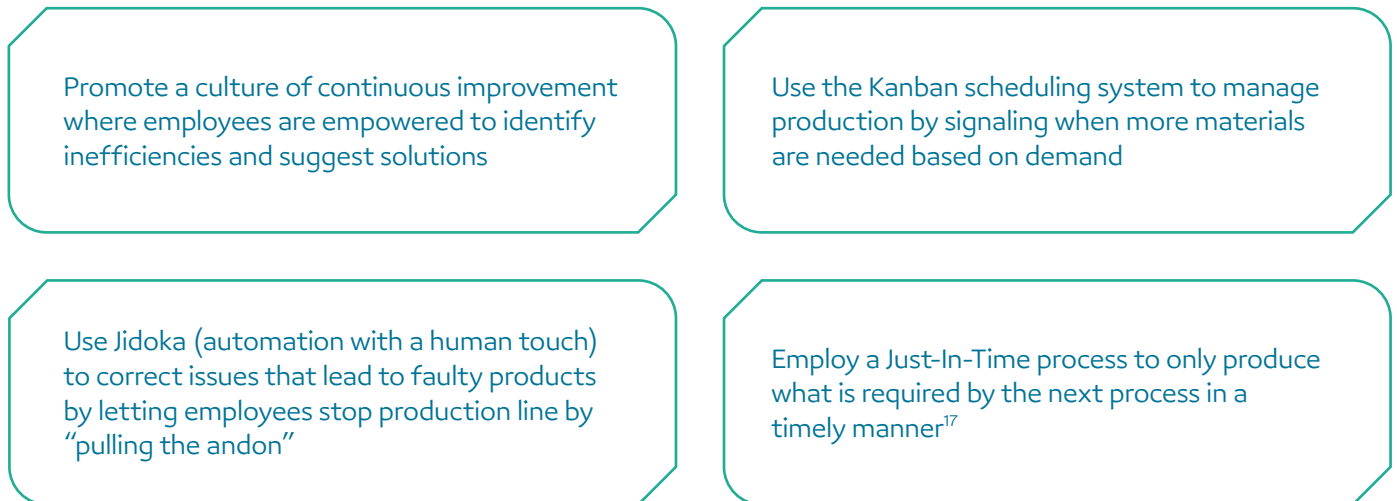
Circular Economy (CE):

Sustainable, environmentally-friendly production by reusing and regenerating materials, minimizing waste, and maximizing resource efficiency.



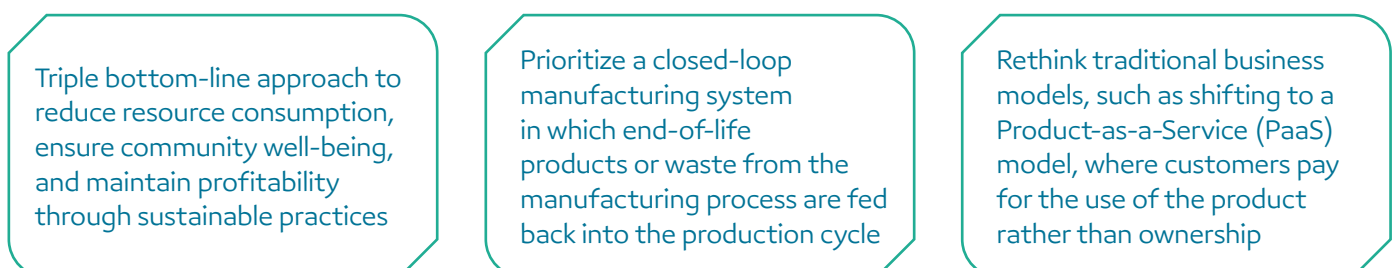
Lean-management practices (LMP):

First developed by Toyota, LMP is a set of practices that reduce waste, overproduction, and inefficiencies.



Sustainability-oriented innovation (SOI):

The creation of new products, services, or business models that contribute to environmental, social, and economic sustainability.





ABOUT MONSHA'AT

Established in 2016, the Small and Medium Enterprises General Authority's (Monsha'at) chief objective is to organize, support, develop, and sponsor the SME sector in accordance with best global practices.

"Monsha'at" deploys a wide range of initiatives that directly speak to the challenges that SMEs face in the market, with assistance being further broken down by company size and type. In addition to providing firms with critical administrative, technical, and financial support, Monsha'at also assists SMEs with marketing and human resources.

Vision



To transform the SMEs sector into a vital pillar for economic development in Saudi Arabia and an enabler for achieving Saudi Vision 2030 and beyond.

Mission



Support SMEs' growth and competitiveness through building a supportive ecosystem and an entrepreneurial society, by driving cooperation with our strategic partners in the public and private sectors and the non-profit sector, locally and internationally.

Please visit our website below for more information.



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